



16 July 2014

Chief Executive Officer
Nairobi Securities Exchange Ltd.
55 Westlands Road,
P. O. Box 43633 - 00100
NAIROBI

Dear Sir,

**RE: HOUSING FINANCE UN-AUDITED GROUP RESULTS
AS AT 30 JUNE 2014**

Please find enclosed a copy of our Group and Company un-audited results for the period ended 30 June 2014 for your information and retention.

The Board of Directors resolved to pay an interim dividend of Kshs. 0.75 per share to be paid on or about 29 August 2014 to shareholders on the register at the close of business on 01 August 2014.

Please acknowledge receipt on the attached copy of this letter.

Yours faithfully,


Sam Waweru
Finance & Administration Director

Enc.

HOUSING FINANCE

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES



I	STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2014	Bank				Group Consolidated		
		30.06.2013	31.12.2013	31.03.2014	30.06.2014	30.06.2013	31.12.2013	30.06.2014
		Unaudited	Audited	Unaudited	Unaudited	Unaudited	Audited	Unaudited
A.	ASSETS	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
1	Cash balances (both local and foreign)	136,479	133,333	150,119	165,822	136,479	133,333	165,822
2	Balances due from Central Bank of Kenya	1,517,468	1,605,984	1,655,257	1,324,811	1,517,468	1,605,984	1,324,811
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-	-
5	Investment Securities:	-	-	-	-	-	-	-
	a) Held to Maturity:	-	-	-	-	-	-	-
	a. Kenya Government securities	-	-	-	-	-	-	-
	b. Other securities	-	-	-	-	-	-	-
	b) Available for sale:	408,911	439,667	461,247	287,651	408,911	439,667	287,651
	a. Kenya Government securities	328,911	288,167	278,747	287,651	328,911	288,167	287,651
	b. Other securities	80,000	151,500	182,500	-	80,000	151,500	-
6	Deposits and balances due from local banking institutions	6,913,835	6,827,190	8,035,508	5,381,142	6,913,957	6,827,202	5,381,155
7	Deposits and balances due from banking institutions abroad	9,131	31,086	213,544	249,469	9,131	31,086	249,469
8	Tax recoverable	65,092	-	-	140,824	84,538	-	131,558
9	Loans and advances to customers (net)	32,478,823	35,215,897	37,247,162	38,806,810	32,478,823	35,215,897	38,806,810
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-	-
12	Investments in subsidiary companies	255,120	255,120	255,120	255,120	-	-	-
13	Investment in Joint ventures	86,700	190,800	190,800	190,800	86,700	190,800	190,800
14	Investment properties	-	-	-	-	699,762	117,822	65,009
15	Property and equipment	771,255	939,444	931,464	974,986	777,156	945,515	980,996
16	Prepaid operating lease rentals	40,556	40,325	40,210	40,095	47,006	46,685	46,363
17	Intangible assets	358,582	395,935	428,185	463,802	358,582	395,935	463,802
18	Deferred tax asset	220,193	313,116	313,116	313,116	272,637	313,278	313,278
19	Retirement benefit asset	-	-	-	-	-	-	-
20	Other assets	340,914	367,214	439,391	505,463	337,340	1,126,173	1,035,479
21	TOTAL ASSETS	43,603,059	46,755,111	50,361,123	49,099,911	44,128,490	47,389,377	49,443,003
B.	LIABILITIES							
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-	-
23	Customer deposits	25,909,941	26,588,851	28,682,529	27,782,591	25,847,515	26,507,204	27,664,743
24	Deposits and balances due to local banking institutions	-	-	-	-	-	-	-
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-	-
27	Borrowed funds	11,682,254	14,016,374	15,127,091	14,821,660	12,029,530	14,363,650	14,968,660
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-
29	Tax payable	-	68,845	143,279	-	-	71,471	-
30	Dividends payable	200,902	47,710	47,212	220,138	200,902	47,710	220,138
31	Deferred tax liability	-	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-
33	Other liabilities	576,137	351,478	448,936	632,131	830,818	539,835	721,551
34	TOTAL LIABILITIES	38,369,234	41,073,258	44,449,047	43,456,520	38,908,765	41,529,870	43,575,092
C.	SHAREHOLDERS' FUNDS							
35	Paid up /Assigned capital	1,153,000	1,155,350	1,155,350	1,155,350	1,153,000	1,155,350	1,155,350
36	Share premium/(discount)	1,552,173	1,554,523	1,554,523	1,554,523	1,552,173	1,554,523	1,554,523
37	Revaluation reserves	512,332	512,332	512,332	512,332	512,332	512,332	512,332
38	Retained earnings/Accumulated losses	1,480,641	1,918,942	1,870,577	2,090,465	1,466,541	2,096,596	2,314,985
39	Statutory loan loss reserves	501,432	238,371	485,959	320,956	501,432	238,371	320,956
40	Other Reserves	(16,503)	20,515	51,515	(40,985)	(16,503)	20,515	(40,985)
41	Proposed dividends	-	231,070	231,070	-	-	231,070	-
42	Capital grants	50,750	50,750	50,750	50,750	50,750	50,750	50,750
43	TOTAL SHAREHOLDERS' FUNDS	5,233,825	5,681,853	5,912,076	5,643,391	5,219,725	5,859,507	5,867,911
44	TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	43,603,059	46,755,111	50,361,123	49,099,911	44,128,490	47,389,377	49,443,003

HOUSING FINANCE

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES



II	STATEMENT OF COMPREHENSIVE INCOME FOR THE PERIOD ENDED 30 JUNE 2014	Bank				Group Consolidated		
		30.06.2013	31.12.2013	31.03.2014	30.06.2014	30.06.2013	31.12.2013	30.06.2014
		Unaudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Unaudited (Ksh'000)	Audited (Ksh'000)	Unaudited (Ksh'000)
1	INTEREST INCOME							
1.1	Loans and advances	2,483,027	4,888,272	1,281,868	2,628,318	2,483,027	4,888,272	2,628,797
1.2	Government securities	34,698	46,536	8,788	17,584	34,698	46,536	17,584
1.3	Deposits and placements with banking institutions	261,767	505,251	145,538	265,713	261,767	505,251	265,713
1.4	Other Interest Income	-	-	-	-	-	-	-
1.5	Total interest income	2,779,492	5,440,059	1,436,194	2,911,615	2,779,492	5,440,059	2,912,094
2	INTEREST EXPENSES							
2.1	Customer deposits	814,983	1,598,748	465,755	892,853	814,844	1,598,378	884,891
2.2	Deposits and placement from banking institutions	-	-	-	-	-	-	-
2.3	Other interest expenses	582,380	1,288,304	319,539	687,250	582,380	1,288,304	687,250
2.4	Total interest expenses	1,397,363	2,887,052	785,294	1,580,103	1,397,224	2,886,682	1,572,141
3	NET INTEREST INCOME/(LOSS)	1,382,129	2,553,007	650,900	1,331,512	1,382,268	2,553,377	1,339,953
4	OTHER OPERATING INCOME							
4.1	Fees and commissions on loans and advances	51,309	155,907	63,275	11,740	51,309	155,907	11,740
4.2	Other fees and commissions	25,690	49,605	15,857	40,520	45,740	90,033	163,920
4.3	Foreign exchange trading income/(Loss)	-	1,567	13,680	17,090	-	1,567	17,090
4.4	Dividend Income	-	2,250	-	2,375	-	2,250	2,375
4.5	Other income	50,368	94,989	27,971	216,660	51,358	1,118,613	311,170
4.6	Total Non-interest income	127,367	304,318	120,783	288,385	148,407	1,368,370	506,295
5	TOTAL OPERATING INCOME	1,509,496	2,857,325	771,683	1,619,897	1,530,675	3,921,747	1,846,248
6	OPERATING EXPENSES							
6.1	Loan loss provision	136,382	280,893	89,389	175,514	136,382	280,893	175,514
6.2	Staff costs	442,666	803,880	205,600	450,935	446,432	804,060	469,950
6.3	Directors' emoluments	13,000	11,474	4,854	9,016	13,000	11,474	9,256
6.4	Rental charges	10,758	23,273	4,387	11,435	12,463	24,859	12,931
6.5	Depreciation charge on property and equipment	31,502	69,071	23,302	49,572	31,632	69,345	49,724
6.6	Amortisation charges	5,549	10,398	2,965	5,158	5,549	10,398	5,158
6.7	Other operating expenses	294,428	444,907	156,582	307,444	311,097	1,240,362	445,940
6.8	Total Other Operating Expenses	934,285	1,643,896	487,079	1,009,074	956,555	2,441,391	1,168,473
7	Profit/(loss) before tax and exceptional items	575,211	1,213,429	284,604	610,823	574,120	1,480,356	677,775
8	Exceptional items	-	-	-	-	-	-	-
9	Profit/(loss) after exceptional items	575,211	1,213,429	284,604	610,823	574,120	1,480,356	677,775
10	Current tax	(172,563)	(497,383)	(85,381)	(183,247)	(176,999)	(525,801)	(203,333)
11	Deferred tax	-	92,923	-	-	-	40,641	-
12	Profit/(loss) after tax and exceptional items	402,648	808,969	199,223	427,576	397,121	995,196	474,442
13	Other Comprehensive Income							
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	20,000	57,018	31,000	-	20,000	57,018	-
13.3	Revaluation surplus on Property, plant and equipment	-	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-
14	Other Comprehensive Income for the year net of tax	20,000	57,018	31,000	-	20,000	57,018	-
15	Total comprehensive income for the year	422,648	865,987	230,223	427,576	417,121	1,052,214	474,442
	Earnings per share	3.49	3.50	3.45	3.70	3.44	4.31	4.11
	Dividend per share	0.75	1.75	-	0.75	0.75	1.75	0.75

HOUSING FINANCE

UNAUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES



		Bank				Group Consolidated		
		30.06.2013	31.12.2013	31.03.2014	30.06.2014	30.06.2013	31.12.2013	30.06.2014
		Unaudited	Audited	Unaudited	Unaudited	Unaudited	Audited	Unaudited
		(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)	(Ksh'000)
III	DISCLOSURES							
	AS AT 30 JUNE 2014							
1	Non-Performing Loans and Advances							
	a) Gross non-performing loans and advances	2,942,398	3,209,739	3,583,982	3,874,969	2,942,398	3,209,739	3,874,969
	b) Less: Interest in Suspense	182,049	191,031	157,113	218,270	182,049	191,031	218,270
	c) Total non-Performing loans and advances (a-b)	2,760,349	3,018,708	3,426,869	3,656,699	2,760,349	3,018,708	3,656,699
	d) Less: Loan loss provisions	400,559	521,728	835,908	684,252	400,559	521,728	684,252
	e) Net non-performing loans and advances(c-d)	2,359,790	2,496,980	2,590,961	2,972,447	2,359,790	2,496,980	2,972,447
	f) Discounted value of securities	2,359,790	2,496,980	2,590,961	2,972,447	2,359,790	2,496,980	2,972,447
	g) Net Exposure(e-f)	-	-	-	-	-	-	-
2	Insider loans and advances							
	a) Directors, shareholders and associates	-	-	-	275,549	-	-	275,549
	b) Employees	887,940	814,590	795,066	831,284	887,940	814,590	831,284
	c) Total insider Loans and Advances	887,940	814,590	795,066	1,106,833	887,940	814,590	1,106,833
3	Off-Balance Sheet items							
	a) Letters of credit, guarantees and acceptances	17,179	31,518	39,317	84,378	17,179	31,518	84,378
	b) Other contingent liabilities	-	-	-	-	-	-	-
	c) Total contingent liabilities	17,179	31,518	39,317	84,378	17,179	31,518	84,378
4	Capital Strength							
	a) Core capital	3,581,094	3,993,914	3,845,937	4,232,449			
	b) Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000			
	c) Excess/Deficiency	2,581,094	2,993,914	2,845,937	3,232,449			
	d) Supplementary capital	2,136,819	2,252,141	2,276,940	2,185,880			
	e) Total capital (a+d)	5,717,913	6,246,055	6,122,877	6,418,329			
	f) Total risk weighted assets	27,253,592	28,946,161	31,315,066	38,766,696			
	g) Core capital /Total deposit liabilities	13.82%	15.02%	13.41%	15.23%			
	h) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%			
	i) Excess/Deficiency	5.82%	7.02%	5.41%	7.23%			
	j) Core capital /Total risk weighted assets	13.14%	13.80%	12.28%	10.92%			
	k) Minimum Statutory Ratio	8.00%	8.00%	8.00%	8.00%			
	l) Excess/Deficiency (j-k)	5.14%	5.80%	4.28%	2.92%			
	m) Total capital /Total risk weighted assets	20.98%	21.58%	19.55%	16.56%			
	n) Minimum Statutory Ratio	12.00%	12.00%	12.00%	12.00%			
	o) Excess/Deficiency (m-n)	8.98%	9.58%	7.55%	4.56%			
5	Liquidity							
	a) Liquidity Ratio	33.60%	33.12%	34.50%	25.82%			
	b) Minimum Statutory Ratio	20.00%	20.00%	20.00%	20.00%			
	c) Excess(Deficiency) (a-b)	13.60%	13.12%	14.50%	5.82%			

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website www.housing.co.ke. They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

Signed

CHIEF EXECUTIVE OFFICER

Signed

CHAIRMAN